

GigaCloud Technology (NASDAQ: GCT) — Long Investment Pitch

Prepared for IC / sophisticated HNW review · Price as of 2026-06-26 close (IBKR): \$32.03 · Every figure traced to the FY2025 10-K (CIK 1857816, gct-20251231.htm), the Q1-2026 10-Q, SEC XBRL, US customs/Census trade data, and a live IBKR quote.

Slide 1 — GigaCloud: a debt-free, net-cash compounder priced for a tariff catastrophe that we have now sized — and it doesn't reach the P&L

Recommendation: BUY (basket-sized starter here at ~\$32, accumulate into the mid-\$20s). 12–18 month fair value: ~\$42 base (+31%) / ~\$60 bull (+87%) / ~\$23–25 cash-floored bear (–22%).

One line: GCT trades at ~8.6–8.9x earnings and ~5.6–5.9x EV/EBIT with **\$9.9 a share of cash and zero bank debt (31% of the market cap)**, growing earnings, KPMG-audited, no VIE — because the market is applying a China-tariff discount sized to a worst case that, when you actually decompose where the tariff lands, falls mostly **off** GigaCloud's own income statement. The decisive bear number the company won't disclose — its China-origin share of merchandise — we triangulated from primary trade data. The result reframes the risk from "margin value-trap" to "real on volume, overstated on EBIT."

What could make this wrong: this is a single China-linked small-cap with a controlling founder; size it as a basket position, not a concentrated bet. The real residual risk is demand, not margin — see Slide 8.

Slide 2 — The thesis in three lines

1. The cheapness is real and growing, not a stale-data optical illusion. Earnings *rose* in FY2025 (net income +9% to \$137.4M on revenue +11% to \$1,289.9M, both confirmed against SEC XBRL), yet the stock is down ~18% YTD and sits in the bottom third of its 52-week range. This is a price de-rating against rising fundamentals — the cleanest kind of value setup, the opposite of a melting ice cube whose "cheap" multiple is built on a trailing number about to collapse.

2. The discount the price embeds is the wrong discount. The market is charging GCT a China-fraud / trapped-cash / VIE-shell haircut. On primary evidence it is none of those: Big-Four-audited (KPMG), no VIE, no bank debt, \$379.8M of real cash, operating cash flow that exceeds net income three years running. A *distributor* discount is deserved; a *fraud* discount is not. That gap is the edge.

3. The one bear that is real — tariffs — lands mostly off GCT's P&L, and we can show it. The largest China-exposed dollar of merchandise sits in the third-party marketplace, where the importer of record is the seller or the US buyer, not GigaCloud. On the inventory GCT actually owns, it

demonstrated full tariff pass-through in 2H-2025 — product margin *expanded* even into the duty. Sized, the worst plausible un-recovered hit is ~\$67M of EBIT; the demonstrated hit is near zero.

Slide 3 — What the business actually is (and what it is not)

Punchline: GCT is a cross-border logistics-anchored distributor of big, bulky furniture — not the asset-light software marketplace the bulls sometimes pitch. We underwrite it as the former, which is why the price is interesting at all.

GigaCloud connects mostly-Asian furniture manufacturers to Western (US and EU) resellers across three linked businesses:

- **A B2B marketplace** where third-party sellers list large-bulky goods and GCT earns commission plus fulfillment fees (1,299 active third-party sellers in 2025).
- **A first-party (1P) distributor** that buys inventory on its own balance sheet and resells it — the bulk of revenue and ~29.8% product gross margin.
- **GigaCloud Logistics**, an owned cross-border 3PL / fulfillment network (a multi-million-square-foot warehouse footprint financed through leases, not capex) that physically holds the goods. This is the genuine moat: it makes the platform hard to disintermediate and creates real buyer stickiness.

Total merchandise volume (GMV) ~\$2.06B: marketplace GMV \$1,576.8M (third-party \$851.2M + first-party \$725.6M) plus off-platform / Noble House product ~\$486.8M. **Note the distinction that matters for the rest of the deck:** GMV is gross merchandise flow; revenue is \$1,289.9M. On the third-party slice only commission and freight hit GCT's revenue — the goods themselves never touch its income statement. Hold that thought for Slide 6.

What could make this wrong: the 1P book is working-capital-heavy and cyclical — it is arbitraging a China-to-West cost gap that can compress. We are paying a distributor multiple, not a marketplace multiple, on purpose.

Slide 4 — Why it's cheap: the metrics, and the cash you're handed for free

Punchline: you are paying ~5.6–5.9x operating profit for a business one-third of whose market cap is cash, with a ~15% free-cash-flow yield.

Metric	Value	Source
Price (2026-06-26 close)	\$32.03	Live IBKR quote
52-week range	\$19.23 – \$51.86	IBKR (stock sits in lower third, near a 13-week low — see note)
YTD price change	–18.5%	IBKR

Metric	Value	Source
Shares outstanding	~36.8M (Class A+B, latest 10-Q cover)	post-buyback; FY25 diluted weighted-avg ~38.5M
Market cap	~\$1.18–1.23B	depending on share basis
Cash & equivalents	\$379.8M	FY2025 10-K
Bank / financial debt	\$0 (finance-lease only; revolver undrawn)	FY2025 10-K / Q1-26 10-Q
Net cash	~\$9.9/share, ~31% of market cap	computed
FY2025 revenue	\$1,289.9M (+11% YoY)	SEC XBRL — verified
FY2025 operating income	\$145.0M (11.2% margin)	SEC XBRL — verified
FY2025 net income	\$137.4M (+9% vs \$125.8M)	SEC XBRL — verified
Operating cash flow / capex	\$190.7M / \$7.9M → FCF ~\$182.8M	FY2025 10-K
P/E	~8.6–8.9x	computed
EV/EBIT	~5.6–5.9x	computed
FCF yield	~15%	computed

The cheapness is not manufactured by stale annual data. The classic value trap is a screen that flags a low multiple built on a trailing earnings number that is already rolling over. Here the opposite is true: earnings *grew* into the de-rating. The multiple compressed because the *price* fell on a narrative, while the numerator kept rising.

Reconciliation note (honest): \$32.03 is NOT the 52-week low — that is \$19.23. The stock is in the bottom third of its range, near a 13-week low. We state this plainly rather than overselling "at the lows." Market cap and per-share metrics vary ~4% depending on whether you use current shares outstanding (~36.8M) or FY25 diluted weighted-average (~38.5M); net cash is ~31% of the cap on either basis.

Slide 5 — The quality check: why this is not a fraud and not a trap

Punchline: every box that usually fails on a cheap China-linked small-cap passes here on primary evidence. The discount is for the business model, not the books.

- **Auditor:** KPMG Huazhen LLP (PCAOB ID 1186), auditor since 2020, with a 404(b) attestation and effective internal controls. This is a Big-Four member firm, PCAOB-inspectable — not the obscure-auditor archetype that precedes blow-ups. The single Critical Audit Matter is benign (IT systems over revenue), not fraud-flavored.
- **No VIE.** The 10-K states directly that there is no variable-interest-entity structure — GCT consolidates direct subsidiaries. That removes the single biggest structural red flag on China-

linked issuers.

- **Net cash is real and available.** Of the cash balance, only a low-single-digit-percent share sits in mainland China; the large majority is onshore (US) or in jurisdictions without exchange controls. The buyback is funded out of US cash, which is direct evidence the cash is spendable. We have stress-tested net cash by haircutting *all* PRC cash and a full repatriation-tax overhang — EV/EBIT moves only from ~5.1x to ~5.3x. The thesis does not hinge on the trapped-cash question.
- **Earnings convert to cash.** Operating cash flow has exceeded net income for three consecutive years — the signature of clean accruals. (One nuance we monitor: FY25 operating cash flow benefited from a payables stretch; we watch supplier terms.)
- **No customer concentration; one supplier >10% of purchases** (disclosed, monitored). **It is buying back stock** — ~5–6% of the cap in FY2025 at ~8.6x earnings and a ~15% FCF yield, which compounds per-share value even with no re-rate.

What could make this wrong: an auditor change away from KPMG, any restatement, or a rise in mainland-China cash as a share of the total would each re-open the quality question. None is present today; all are on the kill-trigger list.

Slide 6 — THE TARIFF BEAR, SIZED (the centerpiece)

Punchline: the bear's load-bearing number is the China-origin share of GMV — which the company does not disclose. We triangulated it. And the punchline the bears miss is that origin share is not the margin denominator: the biggest China bucket sits OFF GigaCloud's income statement.

Step 1 — We had to build the number the company won't give us

GCT discloses the tariff *risk* but not its *magnitude* — it never publishes a China-origin percentage of GMV. We read this as competitively-sensitive honest non-disclosure (a supplier map is a trade secret), not a red flag. But it means the bear case cannot be sized from the filings alone — so we built it from primary trade data.

Method: decompose GMV into its three buckets, assign each an independent China-origin probability, and cross-check the result against US customs Bill-of-Lading records and Census trade statistics.

Bucket	GMV	Est. China-origin	Rationale
Third-party marketplace	\$851.2M	~85%	Asian manufacturer base, heaviest China tilt
First-party (1P) inventory	\$725.6M	~73%	GCT's own sourcing, some diversification
Off-platform / Noble House	\$486.8M	~55%	Vietnam/India-tilted (Noble House supply base)

Blended, China-origin lands at roughly **62% / 74% / 82% (low/base/high) of GMV ≈ \$1.5B at base**. Customs Bill-of-Lading records on "Giga Cloud Logistics" shipments read approximately 80/20

China/Vietnam — directional corroboration of the high-China read (with the usual caveat that BOL data undercounts and consolidates).

Step 2 — The insight the bears get wrong: origin share ≠ margin exposure

A tariff only dents *GigaCloud's own* profit on goods GigaCloud owns. The largest China-exposed bucket — the **\$851M third-party marketplace** — sits **off** GCT's P&L. On those goods the importer of record is the third-party seller or the US buyer; GCT books only commission and freight. The tariff incidence falls on someone else's balance sheet. **GCT's own-inventory China landed cost is ~\$558M** (the 1P book plus Noble House) — that, not the \$1.5B headline, is the figure tariffs actually attack.

Step 3 — Size the worst case, then look at what actually happened

- **Worst case (mechanical):** apply the incremental China furniture duty to the ~\$558M of own-inventory landed cost and assume GCT recovers **only 60%** through price. Un-recovered EBIT hit ≈ **\$67M, about 42% of \$161.2M pretax**. Painful — but the company stays net-cash, FCF-positive, and solvent. It bends; it does not break.
- **Demonstrated case (actual):** in Q3-2025, product margin **expanded to 29.9%** despite an estimated ~2.5-point one-quarter tariff headwind — GCT offset it with targeted price increases. At the **full pass-through it actually demonstrated**, the un-recovered EBIT hit is **near \$0**.
- **Regime context that helps the math:** the headline 145% figure the price still seems to fear no longer reflects the durable rule set — the IEEPA "reciprocal" tariffs were struck down in early 2026, leaving a China furniture stack closer to ~17–42% and Vietnam ~10–17%. The denominator the bear is using is stale and high.

Conclusion: this is not a margin value-trap. The tariff is real on volume and demand (Slide 8), but on EBIT it is bracketed between ~\$67M worst-case and ~\$0 demonstrated — and the company has shown it lives in the favorable half of that range.

What could make this wrong: our China-origin estimate is a triangulation, not a disclosure — if true China-origin is materially above our high case AND pass-through fails, the EBIT hit exceeds \$67M. We size the position accordingly and treat product gross margin as the real-time referee (kill trigger: <22% for two quarters).

Slide 7 — Valuation: re-struck with the sized bear, the asymmetry is the trade

Punchline: roughly +31% to base, +87% to bull, and a bear that is floored by cash at about –22%. You are paid asymmetrically to wait.

Scenario	FV / share	vs \$32.03	Drivers
Bull	~\$60	+87%	Growth resumes, the China fear fades, multiple re-rates to ~10–11x EV/EBIT

Scenario	FV / share	vs \$32.03	Drivers
Base	~\$42	+31%	Pass-through holds, low-to-mid single-digit growth, ~8–9x EV/EBIT on ~\$150M normalized EBIT + \$362M net cash
Bear	~\$23–25	–22 to –28%	Tariff bites volume, multiple stays low — but ~\$9.9/share net cash and still-positive FCF backstop the floor

The base case asks only for a multiple re-rate from ~5.6x to a still-modest ~8–9x EV/EBIT on roughly the current earnings power — not heroic growth. The bear is not a zero: even if the tariff finally bites demand, the ~\$10/share of cash and ongoing free cash flow put a hard floor under the equity. **The shape is what matters: you risk roughly a fifth of your capital to a cash-backstopped downside to make a third in the base and to nearly double in the bull.** And while you wait, the buyback compounds per-share value at a ~15% FCF yield — the re-rate is a call option layered on top, not the whole thesis.

Slide 8 — Risks and what would break it (no soft-pedaling)

Punchline: the real residual bear is demand elasticity and governance — not the margin story. We give both honest weight.

1. **Demand elasticity is the genuine open risk.** Tariffs raise end-prices; higher prices mean Western resellers buy fewer units. This is the channel the sized-EBIT analysis does *not* fully neutralize, and it is already visible: **spend per active buyer fell from \$144k to \$130k in 2025.** If volumes contract faster than pass-through can defend, revenue and operating leverage erode together. This, not gross margin, is what we watch hardest.
2. **Founder voting control (~70.7%, held by Larry Wu on ~19.5% of the economics).** Minority holders cannot force the re-rate and cannot block a controller-led take-private at an opportunistic, lowball price. A Founder Undertaking blocks a take-private below the IPO price only until ~Aug-2027, then lapses. This is a real, permanent governance discount — part of why the stock is cheap, and part of why it may stay cheaper than fair value longer than we'd like.
3. **The 1P model is working-capital-heavy and cyclical.** It is, at bottom, a China-to-West supply-chain arbitrage with a ~29.8% product gross margin. That arbitrage can erode slowly as supply chains diversify and as competitors replicate the logistics network.
4. **It is a distributor, not the asset-light marketplace some bulls pitch.** True marketplace commission is a small slice of revenue; most gross profit comes from owned inventory and logistics. The discount is *partly deserved* — we are not pretending otherwise. The bet is that it is over-deserved.

Kill / re-underwrite triggers (any one forces a re-underwrite): - Product gross margin below 22% for two consecutive quarters. - Auditor change away from KPMG. - Organic (ex-acquisition) revenue turns negative. - A take-private proposal emerges (especially as the Founder Undertaking nears its ~Aug-2027 lapse).

Slide 9 — Recommendation, sizing, and entry plan

Punchline: BUY, basket-sized. Start small here at the top of the accumulate band, add into the mid-\$20s where the cash-floored bear fair value sits, and let the kill triggers — not your conviction — decide when to exit.

- **Action: BUY — initiate a starter position now** at ~\$32 (top of the \$25–\$32 accumulate band, lower third of the 52-week range).
- **Add discipline:** scale in on tariff-headline weakness toward the **mid-\$20s**, which is precisely where our cash-backstopped bear fair value sits — i.e., add where the downside is most defended, not where momentum feels best.
- **Sizing:** treat this as a **basket position, not a concentrated bet**. It carries an irreducible single-name China + controlled-company + demand-elasticity tail that no amount of diligence fully removes. The edge is the mispricing, but the structure demands you size for the tail.
- **What you're underwriting:** a debt-free, net-cash, cash-generative, KPMG-audited distributor where the load-bearing bear (tariffs) has been decomposed and shown to land mostly off the income statement — bought at ~8.6x earnings with ~\$9.9/share of cash and a ~15% free-cash-flow yield financing an accretive buyback.
- **What ends the trade:** product gross margin <22% for two quarters, an auditor change, organic revenue going negative, or a lowball take-private. Until one of those fires, the FCF and buyback pay you to hold while the re-rate option runs.

Bottom line: the market is pricing a fraud-and-tariff catastrophe; the primary evidence describes a cheap, clean, cash-rich distributor with a sized and survivable tariff exposure. That gap, bought with discipline and sized for the tail, is the opportunity.